Huhtamaki India Ltd

Concall Tracker · Q1 2027 review · Coverage read: CY2023 Q1 → CY2026 Q1 (13 quarterly calls)

Two questions: (1) Is there a durable earning trigger? (2) Has management been consistent about it?

1. Snapshot

What the business does: Huhtamaki India makes **flexible packaging** — the printed laminates, films, pouches and labels that wrap food, personal-care and home-care products. It sells to big FMCG (fast-moving consumer goods) brands like Unilever, Nestlé and Mondelêz plus many regional players, and earns by converting plastic/paper film into finished packaging. It is the listed Indian arm of Finland's Huhtamaki Oyj.

MARKET CAP **₹2,407 cr** Total value of all shares — a small-cap.	PRICE (52-WK RANGE) **₹319** Range ₹149–321 — stock has more than doubled off its low as margins recovered.	P/E RATIO **17.6×** Price is ~18× last year's profit — a modest rating.
CY2025 REVENUE **₹2,469 cr** Full-year sales (Jan–Dec 2025), down ~2.5% YoY — a flat-to-shrinking top line.	CY2025 NET PROFIT **₹118 cr** Up from ₹88 cr in CY2024; pre-tax profit before one-offs jumped ~83%.	OPERATING MARGIN **8%** Up from 5% in CY2024 — the core of this story is margin recovery.
ROCE / ROE **12% / 9%** Return on capital / equity — improved but still modest for a well-run maker.	PRICE / BOOK **~1.8×** Book value ₹179. Long traded near 1× book; still lightly valued for an MNC.	DIVIDEND YIELD **0.63%** Small payout despite ~₹480 cr net cash — a recurring investor gripe.

Note: Huhtamaki reports on a **calendar year** (Jan–Dec). "CY2025" = the year ended Dec 2025. Management quotes net sales of ₹2,390 cr for CY2025 (vs ₹2,469 cr "Sales" above, which includes other operating income).

2. Concall coverage

Period	Call date	Read?
CY2023 Q1 → CY2025 Q3 (11 calls)	Apr 2023 → Oct 2025	Yes — read for narrative backstory
CY2025 Q4 / full year	13 Feb 2026	Yes — read in full
CY2026 Q1 (latest)	13 May 2026	Yes — read in full ★

Spans ~3 years / 13 quarterly calls. A newer June-2026 (Q2 CY26) quarter shows up in the financial data (sales ~₹750 cr, margin ~10%) but **no transcript for it exists yet**, so the latest call read is Q1 CY26. One older call (Aug 2018) was unavailable on Screener but is far outside the analysis window.

★ Latest concall highlights — Q1 CY2026 (call 13 May 2026)

- **Sales flat, profit engine still margins.** Net sales were up just ~0.1% year-on-year (essentially flat), but EBITDA (operating profit before interest, tax, depreciation) rose ~25% — the margin-expansion trend continued into a new year.
- **A one-off dented the headline.** Reported operating profit (EBIT) rose only 4% and net profit slipped ~2% to ₹25.6 cr because of a ₹8.8 cr depreciation catch-up charge fixing a prior-two-year accounting error (wrong depreciation method). Strip it out and EBIT margin was ~8% and pre-charge profit rose ~23% — so underlying trend intact.
- **Leadership refresh completed.** New CFO Amit Gupta (ex-P&G Health, ITC, Colgate) was introduced, joining the new MD Kamal Taneja (Jan 2026). Both top jobs changed hands within four months.
- **Swift cost pass-through.** Amid post-conflict "low-to-medium double-digit" raw-material inflation, management said it re-priced and locked new pricing on all forward orders by end-March, protecting margins — "no issue with availability."
- **Housekeeping:** the Daman plant property was put up for sale (operations there curtailed); the ₹100 cr loan from the Finnish parent was extended to June 2027. Tone: confident — EBIT "back to good old days" of 8%.

Business mix & capacity (quick glance). Domestic vs exports: roughly **70% India / 30% exports** of revenue (management stated ~30–32% exports consistently) — about two-thirds of sales are within India; it is a small net foreign-exchange earner. **Capacity:** exact utilisation is **not disclosed** (called competitive), but management repeatedly says **capacity is not a growth constraint** — after a plant-consolidation exercise (15 sites cut to 10) it cites ~15–20% headroom and "a lot of room to grow" with no major new capex planned.

★ 3. Earning-trigger thesis

The one thing management keeps pointing to is **margin recovery through "profitable growth"** — deliberately walking away from low-value, commoditised business and keeping only higher-value work, squeezing costs through a "World Class Operations" efficiency programme, and passing raw-material price rises through to customers quickly. It is a **self-help profit-reset story, not a growth story**: the top line has been stuck around ₹2,400–2,600 cr for years, so all the earnings improvement has come from margins, not from selling more.

Trigger	What management said	Evidence so far	Horizon	Strength
Margin recovery via mix + cost-out	Exit low-margin work, lift customer/product mix, cut overheads, pass through RM costs; aspire to double-digit EBIT margin by 2030.	**Delivered.** EBIT margin climbed 3% (CY24) → 6.3% → 6.1% → 8.6% (CY25 quarters), EBITDA crossed 10%, CY25 pre-exceptional profit +83%. Sustained ~8% in Q1 CY26.	Now — largely captured	Moderate real & proven, but the easy reset is mostly done; little runway left without volume.
Blueloop (recyclable mono-material packaging)	Premium sustainable range to drive the next leg of growth; penetration target raised over time to >90% of sales by 2030.	**Stalled.** Share stuck at ~25–30% for 3+ years, admitted "assumptions were wrong," still margin-dilutive; regulation/customer adoption slow.	Long / uncertain	Weak repeatedly promised, repeatedly slipped; goalposts moved up while delivery flat.
Volume / top-line growth	"Grow with the industry" (~5–7%); premiumisation, tube laminates, GST-led up-trading as tailwinds.	**Absent.** Volumes still declining year-on-year; revenue flat 5–6 years. Q2 CY26 sales jump (~₹750 cr) looks price/pass-through led, not clearly volume.	Unproven	Unproven no growth engine yet; management refuses volume guidance.

Bottom line on the trigger: the margin-recovery lever is genuine and has clearly played out — but it is a maturing profit reset, and neither of the two would-be *growth* engines (Blueloop, volume) has shown up.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
CY2023	Restructuring + Blueloop + optimisation would turn around the bottom line; dividend raised as a confidence signal.	Reported profit surged — but mostly on one-offs (~₹370 cr land-sale gains, tax reversal, depreciation-method change), while revenue fell 15%.	Partly
CY2024	Margin recovery to continue; volumes to return profitably.	Volumes recovered but **margins fell** (EBIT ~3%); blamed Red Sea freight, mix, "no price in market." Credibility gap.	Missed
CY2025	Mix + "World Class Operations" cost-out are structural and here to stay.	**Delivered** — clean, stair-step margin recovery, EBITDA >10%, pre-exceptional profit +83%, no one-offs by Q3.	Delivered
Blueloop (2023→2026)	Grow to 60–65%, then >90% of sales by 2030.	Flat at ~25–30% throughout; target quietly raised even as delivery stalled.	Dropped/ Slipping
Guidance culture	(Refused near-term guidance every quarter.)	Consistently deflected margin/volume/capex questions to a vague 2030 aspiration.	Evasive

Narrative drift & tone. The *headline message* — "profitable growth over volume" — has been remarkably steady since 2023, which is a genuine plus. But the *substance* drifted: the growth was originally pinned on Blueloop (which failed to scale), then quietly recredited to cost-out and mix once that lever actually worked in CY2025. Early "recovery" leaned on one-offs before real margins improved. On top of that, the **entire team that ran the turnaround has turned over** — MD Salunkhe and CFO Agarwal (who presented every call 2022–2025) both left, with a new MD (Jan 2026) and new CFO (Apr 2026) now in charge. The new MD was the consultant who designed the profitability programme, so the strategy has continuity — but the execution track record is only one quarter old.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There *is* a real, concrete trigger and it has clearly delivered: margins roughly doubled and profit before one-offs jumped ~83% in CY2025, and it held into Q1 CY26. But this is a **margin reset** (exit bad business + cut cost + pass through prices), and that reset is now largely captured — margins are back near their historical ~8–10% ceiling. Behind it there is **no growth engine**: revenue has been flat for years, volumes are still declining, and the flagship growth bet (Blueloop) has stalled for three years. A genuine trigger that has played out, but with limited runway to keep compounding earnings — hence MAYBE, not YES.

Management consistent? → MAYBE

The message stayed steady and, on margins, was ultimately **delivered** in CY2025 — credit due. But the record is mixed: the originally-sold trigger (Blueloop) was **not** delivered and its target was quietly raised while penetration flat-lined; the early "recovery" was flattered by land-sale and accounting one-offs before real margins moved; management has refused near-term guidance for three years and keeps deflecting the stagnant-revenue question as "not in our control"; and the **whole leadership team has been replaced**, so the people who made the promises are gone. Delivered on the margin promise, broke the growth promise — a fair MAYBE.

Watch-items for next quarter: (1) does the June-2026 revenue jump reflect real volume or just price pass-through? (2) can the new MD/CFO sustain ~8–10% margin without further one-offs? (3) any sign of an actual top-line growth lever (Blueloop, tube laminates, exports)? (4) capital allocation — will the ~₹480 cr cash be deployed or returned?

Sources: Huhtamaki India earnings-call transcripts (Screener.in), Q1 CY2023 – Q1 CY2026; company financial snapshot (Screener.in). Figures rounded; "cr" = crore (10 million), "₹" = Indian rupees.